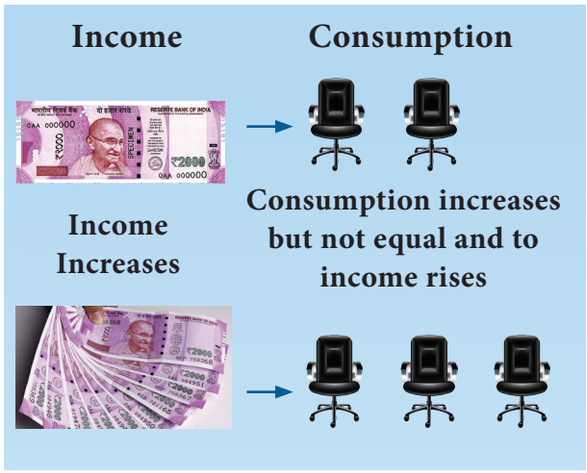
Table: 2 Calculation of APC, MPC, APS and MPS

Income Y	Consumption C	APC % C/Y	APS % S/Y	MPC ΔC/ΔY	MPS ΔS/ΔY
120	120	(120/120)100 = 100	(0/120)0=0	-	-
180	170	(170/180)100 = 94	(10/180)100=5.55	50/60 = 0.83	0.17

4.2.3 Keynes' Psychological Law of Consumption:

Keynes propounded the fundamental Psychological Law of Consumption which forms the basis of the consumption function. He stated that "The fundamental psychological law upon which we are entitled to depend with great confidence both prior from our knowledge of human nature and from the detailed facts of experience, is that men are disposed as a rule and on the average to increase their consumption as their income increases but not by as much as the increase in their income." The law implies that there is a tendency on the part of the people to spend on consumption less than the full increment of income.



Assumptions:

Keynes' Law is based on the following assumptions:

1. Ceteris paribus (constant extraneous variables):

The other variables such as income distribution, tastes, habits, social customs, price movements, population growth, etc. do not change and consumption depends on income alone.

2. Existence of Normal Conditions:

The law holds good under normal conditions. If, however, the economy is faced with abnormal and extraordinary circumstances like war, revolution or hyperinflation, the law will not operate. People may spend the whole of increased income on consumption.

3. Existence of a Laissez-faire Capitalist Economy:

The law operates in a rich capitalist economy where there is no government intervention. People should be free to spend the increased income. In the case of regulation of private enterprise and consumption expenditure by the State, the law breaks down.

12-Economics-Chapter_4.indd 56 23-12-2022 14:43:05